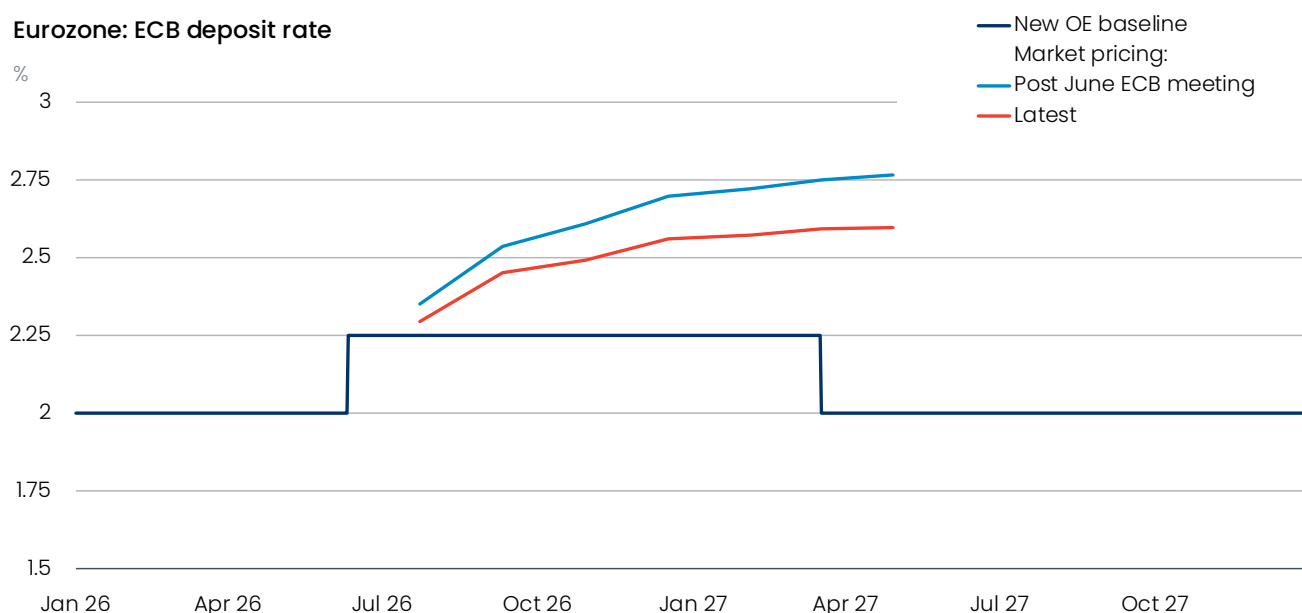


The case for a one-and-done hiking cycle from the ECB

- We've changed our European Central Bank call and no longer expect additional rate hikes, as the abrupt fall in energy prices on the back of the Iran-US deal cuts the initial inflation spike short. Amid weak demand and a softening labour market, this also reduces the odds of material second-round inflation effects. So, we think the central bank's growth-inflation trade-off now favours a hawkish pause.
- We also think there's a growing likelihood that the ECB may opt for a higher-for-longer scenario, where it reverts the June hike much later than our call for March 2027, or not at all. This may offer a better risk-reward profile, as it addresses asymmetric risks to medium-term inflation while avoiding hiking into a slowing economy that likely has passed its peak cost pressures. It also avoids awkward policy fine-tuning.
- A higher terminal rate would help address the upside risks to medium-term inflation that markets have prevailed for a while. Although underlying inflation pressures from the energy shock look contained, upward pressure from Germany's fiscal stimulus, a more inward-looking trade policy, and a weaker euro are some of the factors that may push inflation the other way.
- Near-term risks to our forecast for policy rates remain to the upside. The resilience of the economy means the council may not overly worry about the growth costs of another small hike. The conflict in the Middle East and the resulting energy price pressures could also flare up again. So, we see a low bar for another hike. In the medium term, core inflation pressures will likely be the key factor for the ECB's terminal rate.

Chart 1: Markets still see at least one more hike from the ECB



Sources: Oxford Economics, Haver Analytics

[Last week](#), we released our second June forecast, incorporating a weaker energy price outlook in response to the US-Iran deal. A smaller and shorter inflation spike also led us to revise our European Central Bank call. We had expected the ECB to make a front-loaded policy recalibration, hiking in June and July, in order to dampen the risk of inflation expectations de-anchoring and undue underlying inflation pressures building. Now, we think there are good reasons to expect the ECB to shift to a hawkish pause in July, where the council remains on high alert for signs of sustained inflationary pressure, but doesn't actually tighten policy.

Admittedly, this will likely draw awkward comparisons to past instances of one-and-done policy adjustments by the ECB that were overtaken by events. But we don't think this will end up being a decisive factor. The ECB's current meeting-by-meeting approach and a world of [more frequent supply shocks](#) that can necessitate a more activist central bank, leave it room to adjust to the new energy price environment, if it chooses to.

Headline inflation pressures have peaked

The strongest argument for a hawkish pause in July is that consumer energy prices have peaked and are set to fall, making this a relatively short-lived cost shock. For instance, prices for oil and other energy commodities have plunged in the wake of the US-Iran deal. A barrel of Brent oil costs only 10% more than just before the war broke out, while it was up as much as 70% at its peak in April. If oil prices remain at current levels, the average price of a barrel of Brent would be \$83 in 2026, implying substantial downside risks to the ECB's current assumption of \$97 per barrel. Meanwhile, our synthetic energy price index, which captures market pricing of the most important energy commodities feeding into consumer energy prices, now points to a 12% rise this year compared to 2025. This is around half of what the ECB assumed in its June projection and is broadly in line with the assumption it made back in March ([Chart 2](#)).

Chart 2: The energy cost surge now looks to be shorter and smaller

Eurozone: Synthetic energy price index

2019=100, weighted average of Brent (in EUR), TTF, and German power futures using CPI basket weights



Sources: Oxford Economics, Haver Analytics

Temporary policy measures, such as energy tax cuts, are likely to be reversed later this year or next, blunting the disinflationary pulse. Moreover, the dampening impact on consumer prices may also be lessened, because oil product markets for diesel and the like may stay tighter than raw oil prices suggest. Nonetheless, we cut our forecast for energy consumer inflation to around 6% from more than 8% in our first June forecast round. Current oil prices would point to further downside to our revised inflation forecasts.

The apparent rebound in Middle East energy supply should dampen the rise in consumer food prices. Like the ECB, we worried that surging fertilizer costs would push food prices up, but this seems less likely now. Even before the deal, leading indicators such as wholesale and producer prices indicated strong downside risks to the ECB's expectation that food inflation would rise to more than 3% next year. Not only was the fertilizer cost shock smaller than feared, but there were several underlying disinflationary impulses underway that aren't overly sensitive to energy prices. As a result, we think food inflation will stay below 3% this year and next, while we were previously more aligned with the ECB.

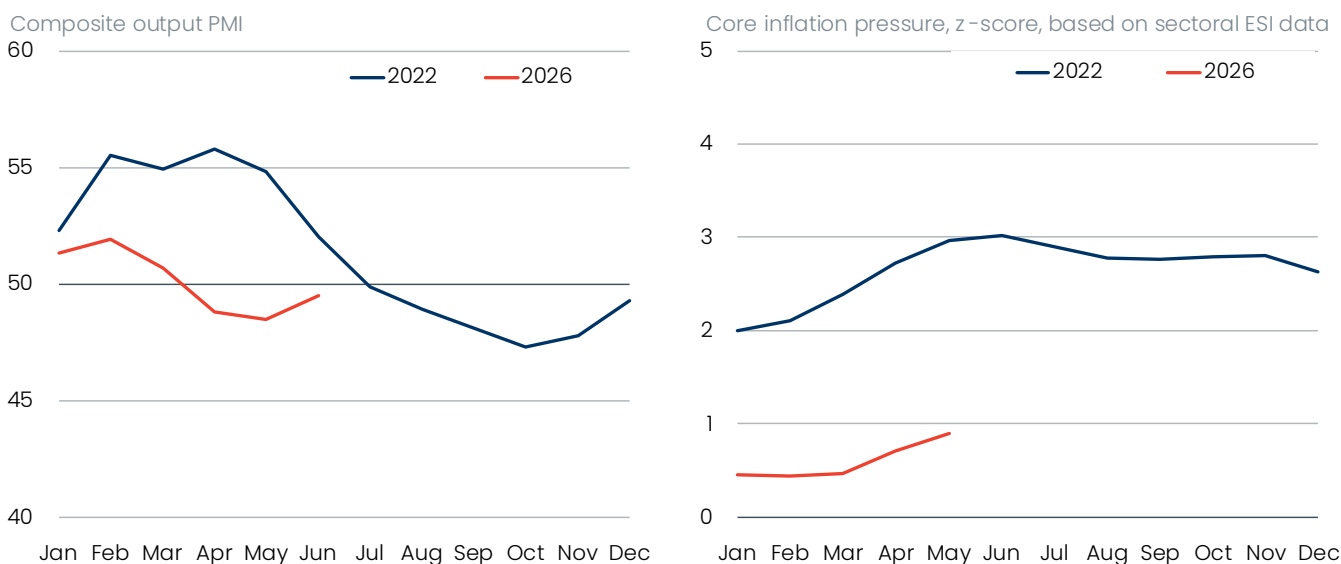
Signs of material second-round effects were absent even before energy prices fell

There are clear signs that the energy price spike has already had some indirect effects on underlying price pressures as it cascades through supply chains. Producer prices and price expectations in energy-intensive sectors have risen sharply. At the consumer level, the clearest impact has been a sharp rise in airline ticket and package holiday prices, which drove much of the increase in services inflation in May that worried some ECB council members. Looking at various measures of underlying inflation, pressures remain contained. For instance, on one of the ECB's own measures – Persistent and Common Component of Inflation – core inflation pressures haven't exceeded their 2025 average.

Evidence of second-round effects is scarce, as a more immediate, adverse growth impact from the shock and a more benign starting position for price pressures at the beginning of the year leave the economy less prone to see inflation pressures spread as they did in 2022 ([Chart 3](#)). Early evidence from the June corporate [surveys](#) showed that price expectations had started to ease somewhat even before the deal.

Chart 3: Core price pressures rose much less and from a weaker starting point than in 2022

Eurozone: Growth-inflation trade-off in 2022 and 2026



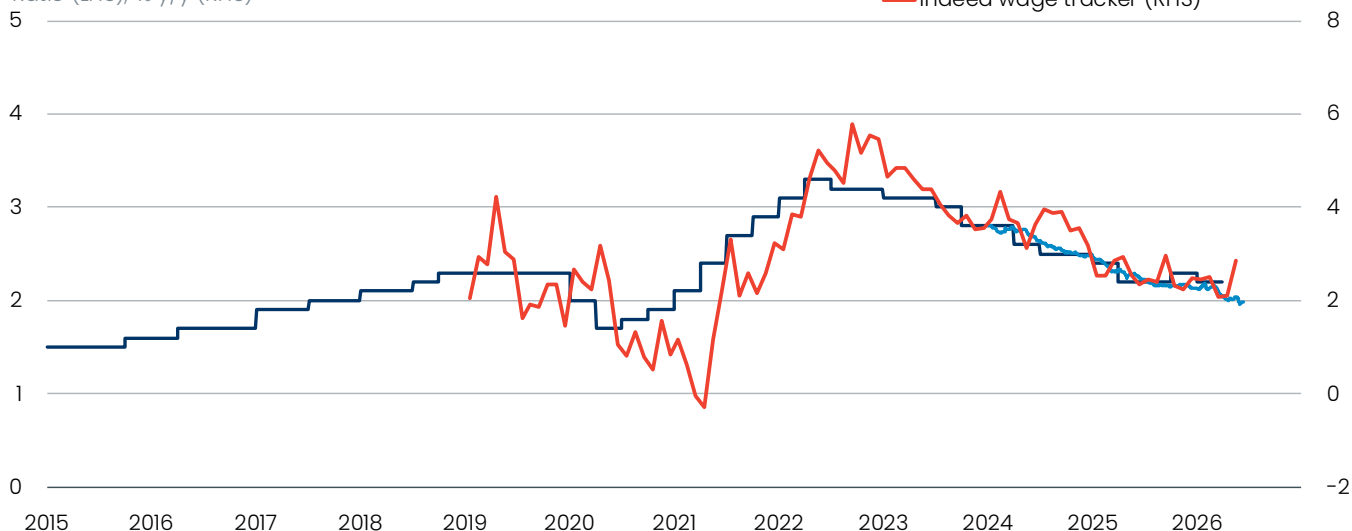
Sources: Oxford Economics, Haver Analytics, S&P Global

Arguably, the most important reason to expect a relatively benign scenario for core inflation is that the labour market has continued to soften in recent months ([Chart 4](#)). This makes it much less likely that workers and unions can push through wage hikes to swiftly recoup their real income losses. Indeed, household income expectations have kept even less pace with the rise in inflation expectations than in 2022. Plus, a milder-than-expected inflation spike this year will mechanically put less pressure on wages down the line, given the strong correlation between negotiated wages and past inflation in many European countries.

Chart 4: Workers may struggle to push for higher wages as labour demand has continued softening

Eurozone: Job vacancy rate and wage growth

Ratio (LHS), % y/y (RHS)



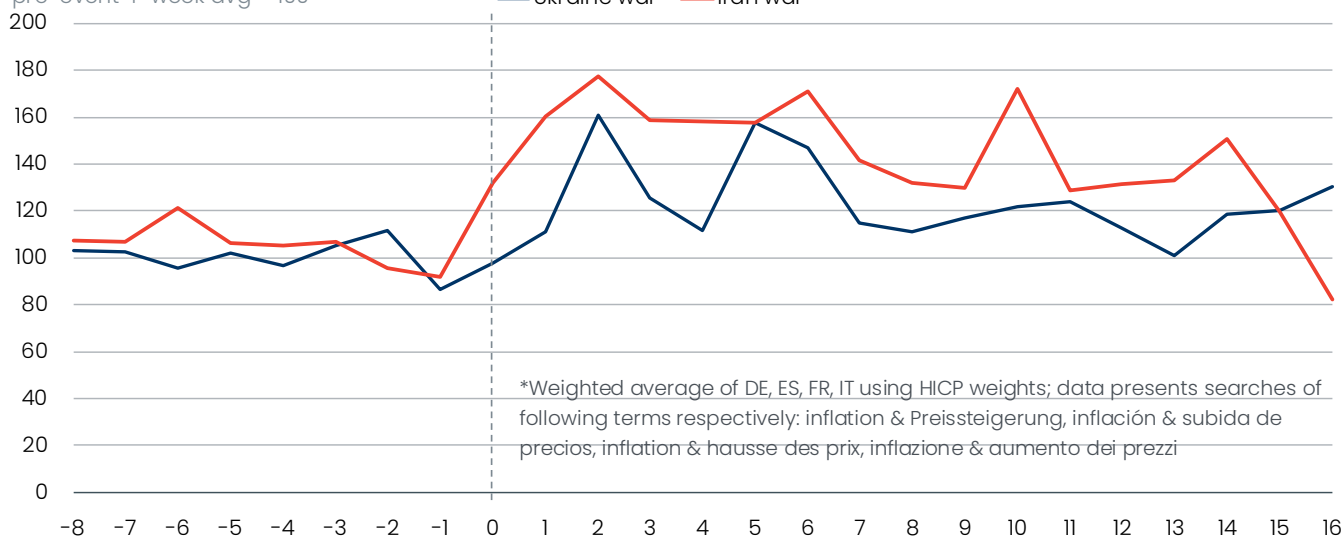
Sources: Oxford Economics, Haver Analytics

There are also early signs that the spike in consumer inflation expectations had been easing before the deal and dropped sharply after the deal ([Chart 5](#)). Google searches for inflation related topics plunged below pre-war levels this week and tend to correlate well with official measures such as from the ECB's own surveys. This should help alleviate concerns that sticky expectations sustain underlying inflation pressures even after the energy price shock dissipated. Overall, we only made modest cuts to our core inflation forecast in the last round, but risks are tilted to the downside.

Chart 5: A proxy for consumer inflation expectations dropped sharply after the US-Iran deal

Eurozone: Google Trends 'Inflation' Search Index*

pre-event 4-week avg = 100



Sources: Oxford Economics, Haver Analytics

Shifting to a hawkish pause now can help avoid awkward policy fine-tuning later

We think the shorter and less material energy price shock as well as the absence of clear second-round effects makes a compelling case for a one-and-done rate hike.

Previously, the ECB argued that a “measured response”, such as 50bps of policy tightening, will be required to contain the risks of second-round inflationary effects, even if the energy shock turned out to be as temporary as expected. In fact, we also assumed the ECB would hike twice, in June and July. This case can still be made. Even back in March, when the energy price assumptions underpinning the ECB forecast were similar to what futures signal now, the central bank highlighted that the forecasts assumed two hikes, as the shock was seen as long and large enough to warrant a response. The ECB’s forecasts saw core inflation still slightly above 2%, even at the end of the forecast period, often a signal of the direction of travel for policy.

However, the case for this response has clearly weakened. Moreover, looking ahead to the next couple of monetary policy meetings, we struggle to see the ECB facing incoming data that would trigger another hike.

In July, the ECB will discuss the impact of the large drop in energy prices and how fleeting, or not, the resumption of energy exports through the Strait of Hormuz will prove to be. There will also be new survey evidence on consumer inflation expectations and core price pressures, as well as the June inflation report, all of which should deliver some disinflationary news. Barring a renewed escalation of the conflict, which isn’t part of our baseline, we think this would be an awkward backdrop in which to hike; markets have largely priced out such a move.

By September, the backdrop for another hike may be even more awkward. Staff inflation forecasts are set to incorporate updated energy price assumptions, which are likely to lead to a downward revision of the forecast. There should be even more evidence of pipeline price pressures easing and inflation having peaked. Another hike then, with the intention of doing only one, will just look like policy fine-tuning, which isn’t really backed by the ECB strategy. By December, headline inflation may already be easing.

Admittedly, ECB communication in the wake of the deal has tended to be hawkish. We think this reflects two things: the council will want to underscore that the June hike just ahead of the deal was the right move either way; and the ECB will want to prevent markets from prematurely pricing in a more dovish policy outlook, when the outlook and the durability of the deal are so uncertain.

If the council wants to guide markets to expect another hike, we think a front-loaded move in July still makes more sense than in September. Waiting while the data flow is more likely than not to move against the ECB’s baseline expectations would mean it would have to push even more hawkish rhetoric to avoid surprising markets.

We think there may also be a more strategic argument for keeping the deposit rate at 2.25% as the ECB could guide the public to expect a higher terminal or neutral rate. We suspect this may have been behind ECB Chief Economist Philipp Lane’s comment last week that “the upper end of that [neutral] range we think has crept up from 2.25% to 2.5%”. This new range would leave 2% and 2.25% as the middle of the neutral range.

One could argue that this was meant as an argument for why delivering another 25bp hike would still leave policy as broadly neutral, underscoring that the ECB isn’t as worried about adverse growth effects. But for the chief economist to argue that near-term policy moves are based on the neutral rate concept seems less likely to us than this being a signal for medium-term policy, or at least an opening to discuss this issue in the council. Indeed, ECB President Christine Lagarde recently reiterated that the neutral rate factors into immediate policy setting.

Following this logic, we think it may be a convenient strategy for the ECB to pivot away from another rate hike and shift to a higher-for-longer narrative. This would acknowledge the improved near-term inflation outlook, while also addressing the fact that the ECB’s medium-term core inflation forecast remains slightly above target. Surveys such as the ECB’s Survey of Monetary Analysts have shown that medium-term inflation, and thus policy rate, risks

are to the upside. This could also be a good compromise for more hawkish and dovish council members. Finally, the ECB could avoid policy finetuning, instead of hiking once more and then trying to guide markets to expect only one cut. Naturally, this line of argument presupposes that the ECB wouldn't want to remain at the high end of the neutral rate range.

We think there's a decent case to be made that the terminal policy rate should stay above 2%. While the indirect and second-round effects from the energy price surge should dissipate, there are other underlying price pressures likely building up. For instance, we think German fiscal stimulus may keep Eurozone core inflation from reaching its target for several years, even if the overshoot is modest. The chances that the EU pivots towards a more assertive trade policy stance versus China have also grown significantly in recent months. This could sustainably lift import prices and create domestic price pressures as supply chains readjust. A higher terminal rate may also help protect the euro from depreciation pressure given the possible upward pressure from the AI boom on productivity, capital inflows, and real interest rates in the US.

We aren't ready to shift our baseline in that direction yet, given the limited signals from the council. But we see a relatively low bar for a shift to this scenario. In the meantime, we'll watch ECB communication to determine if, and by how much, we should push back the rate cut we've pencilled in for March 2027. A move towards late-2027 looks plausible as core inflation should be well on its way back towards 2% by that time.

Risks to our policy rate forecast are tilted to the upside

Despite all the arguments, we consider risks are still tilted towards a higher policy-rate path in the near term. Should energy flows through the Strait of Hormuz halt or be disrupted again, even temporarily, this would likely prompt another rate hike in July or September. In a more adverse scenario, the ECB would likely shift policy back into clearly restrictive territory. Meanwhile, odds look slim for a much more benign scenario than the one priced in by markets and underpinning our forecast.